Cloud Semis: The More "Non-GPU" Servers, the Better

April 19, 2026 11:06 PM GMT

We think the tailwind of generative AI driving non-GPU server demand benefits cloud semis and distributors. We reiterate C on Montage, Aspeed, WPG and WT Micro. We keep EW on E awaiting an ARM CPU ramp-up.

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Key Takeaways

- We estimate agentic AI could add US$30-45bn to CPU TAM by 2030, within $100bn+ total data center CPU market by 2030.
- Besides volume growth, component content per capex on non-GPU servers c be much higher than on GPU racks.
- We reiterate our OW rating on cloud semis (Montage, Aspeed) and semi distibution (WPG, WT Micro). We also raise Aspeed's PT.

Agentic architectural shift likely to distribute supply-chain profits: Agentic A needs different compute than training and inference, with incrementally higher centric or hybrid workloads for complex workflow orchestration. As we wrote ir cloud semis note (GTC/OFC takeaway), the shift away from GPU (despite contir growth) will benefit more companies in the tech supply chain. We estimate ager AI will drive incremental CPU TAM of US$30-45bn by 2030 (see Shawn's report

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More non-GPU servers with higher cloud semis content: We believe incremen CPU server TAM will benefit most cloud semis companies in the supply chain th to higher volume. In addition, CPU servers provide higher capex efficiency in terr of component value/capex than GPU servers. For example, Aspeed's BMC capex efficiency is >4x on CPU servers vs. VR200. Montage's memory buffer chips cou be almost non-existent in a VR200 computing tray, but could easily account for $100 per CPU server.

Stronger networking demand and higher bandwidth requirement: Switch procurement usually lags server procurement by 1-2 quarters. We believe rising server demand will also benefit switches and other networking components. We believe low-expectation proxies in Taiwan could be the semi distributors (see ou Jan-26 deep dive report). WPG has notable exposure to CPU, networking, PMIC memory. WT Micro is the major distributor for TPU and also has high exposure t networking components.

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Tailwind to most semi supply chain; raise PT on Aspeed to NT$15,555: With Aspeed's 1Q26 sales beat (link), we raise our PT for Aspeed. We believe the tren favorable for the company and our EPS estimates are 23% and 20% higher than consensus for 2026 and 2027, respectively. We also highlight the earnings revisi breadth risks (Exhibit 27).

BMC to Benefit from Growing Agentic Demand

BMC to Benefit from Strong CPU demand

According to Shawn's report (link), AI is entering a new phase. The first wave of generative AI was dominated by powerful chips running single tasks, such as answering queries or generating text. The next phase – agentic AI – goes further. These systems can plan, reason, remember past actions and interact with tools to complete multi step tasks. As a result, the economic value in AI is shifting away from any single chip and toward the overall system that supports these agents. Crucially, agentic AI does not reduce demand for GPUs, but it adds more work around them. Planning, coordinating tasks, managing memory and calling external tools all rely heavily on CPUs, memory, networking and storage.

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Our analysis suggests that CPU side processing can account for 50-90% of total workload time in agentic systems. As these systems scale, the balance of infrastructure changes, with cluster level CPU to GPU intensity rising. This has material implications for industry demand. We estimate agentic AI could create a US$32.5-60bn incremental total addressable market (TAM) for orchestration CPUs by 2030, within a total data center CPU market of US$82.5-110bn. Persistent memory requirements are equally important: our analysis suggests agentic workloads could drive 15-45 exabytes of additional DRAM demand by 2030, equivalent to 26-77% of 2027 annual DRAM supply.

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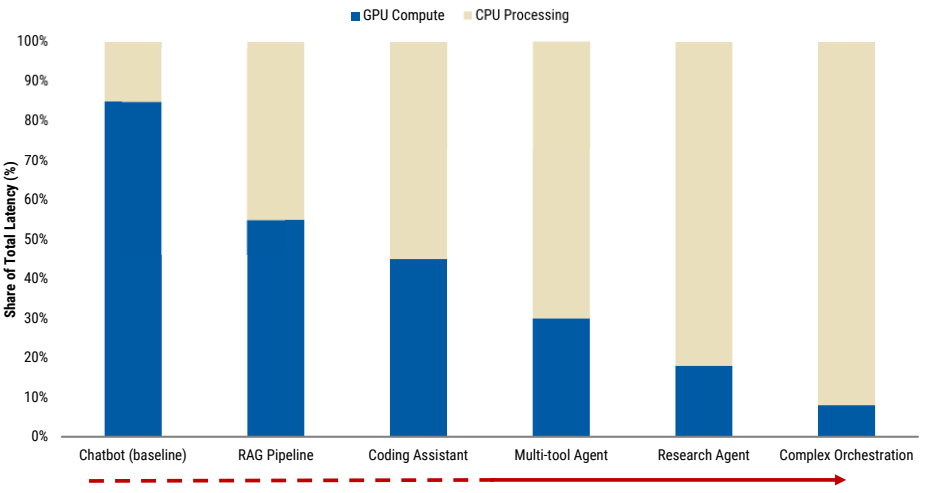
The agentic AI shift broadens well beyond headline AI chips and key beneficiaries include CPU vendors, memory suppliers, storage companies, and advanced packaging and substrate providers, alongside foundries, equipment makers and server manufacturers. In short, agentic AI widens the AI investment landscape, shifting focus from owning the best accelerator to enabling the full system that makes intelligent agents work.

Exhibit 1: Agentic AI shifts the latency bottleneck from GPUs toward CPUs as workflows become more action-heavy



Source: Morgan Stanley Research, Georgia Tech and Intel paper. Note: Per-workload splits are directional estimates by MS Tech Research - not measured benchmarks.

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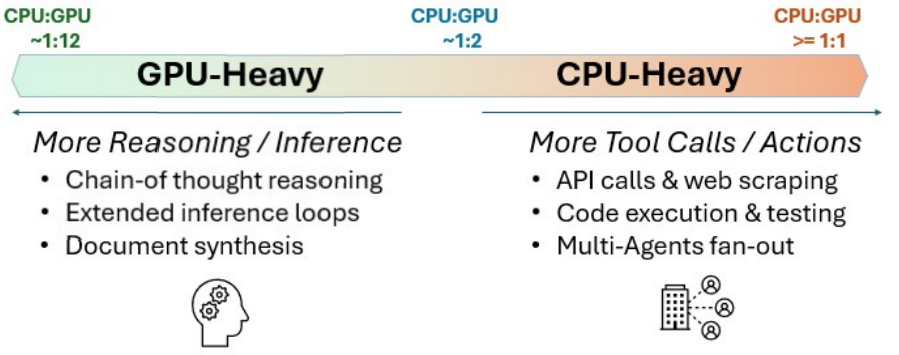
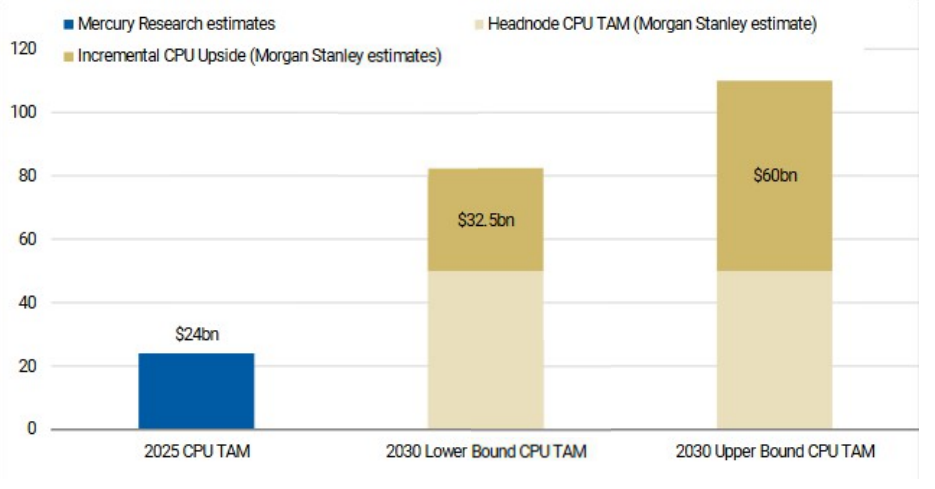
Exhibit 2: Cluster-level CPU:GPU intensity rises as AI moves from reasoning to action



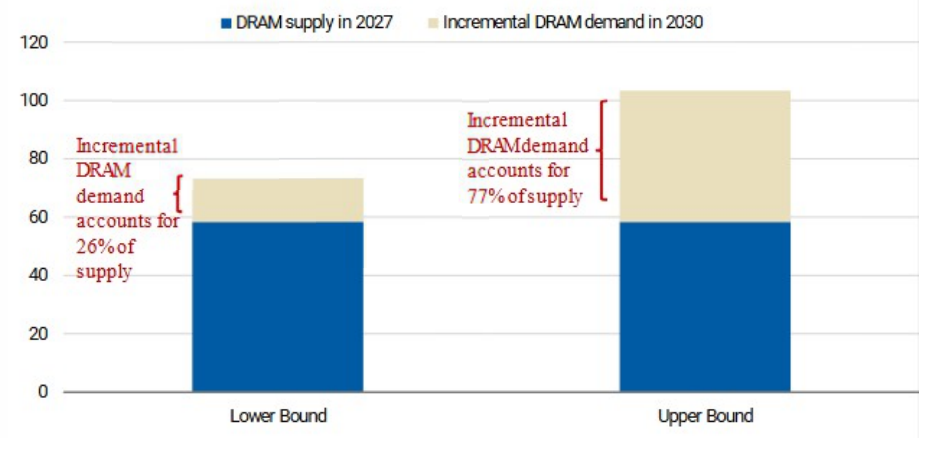
Source: Morgan Stanley Research

Exhibit 3: Agentic AI could add $32.5-60bn CPU opportunity...



Source: Morgan Stanley Research estimates

Exhibit 4: ...and 15-45EB of DRAM demand by 2030



Source: Morgan Stanley Research estimates

Baseboard management IC (BMC) is the key component on the server board, with a view to enabling the remote control for the server firmware system and maintaining the stability of the datacenter. Previously, Aspeed indicated that general server and AI ASIC server actually generate higher efficiency among the capex spending from hyperscalers. (Exhibit 5) As a result, as the CPU plays a critical role in enabling agentic AI, serving as the central coordinator that executes instructions, manages system resources, and ensures reliable, real-time decision-making, we expect the growing demand for CPU/ general server to further lift Aspeed's BMC revenue in the coming years.

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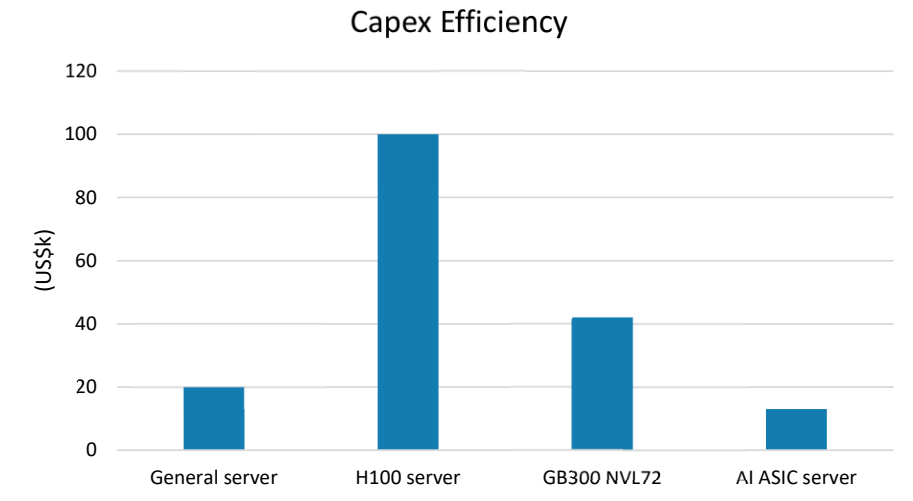
Currently, Aspeed has ~70% of market shares in the CPU server BMC market, with major US and Chinese hyperscalers being its end customers, including Meta, AWS, Alibaba and Microsoft. However, as it migrates into the new generation BMC product AST2700, we expect it to expand its market share in customers including Dell and Google, which would help expand its revenue as spec migration also brings 40-50% of ASP increase.

Exhibit 5: General server and AI ASIC server generate the highest capex efficiency for BMC



Source: Company data, Morgan Stanley Research; note: Capex efficiency is defined as the amount of server spend that will contribute to one BMC demand. The lower capex efficiency, the better for Aspeed.

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Aspeed recently announced an increase in the company's BMC TAM from 46.5mn to 65.77mn in 2030, driven by AI-related general server demand. We think Agentic AI will be the key driving force behind this growth. General server growth should be stable at 6% over 2025-30, while AI-related general servers should account for: 1) 25% of total 2026 general server demand; 2) 45% in 2027; and 3) 20% throughout 2028-30 (see Exhibit 29).

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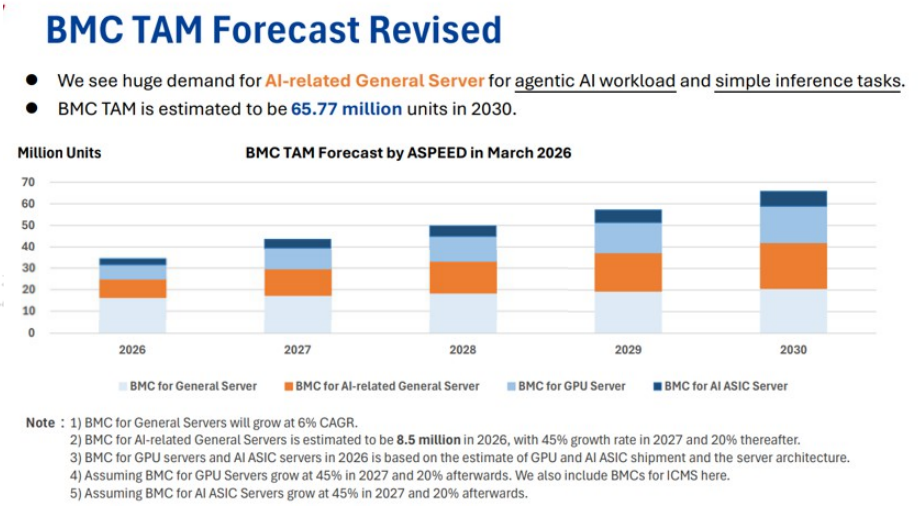
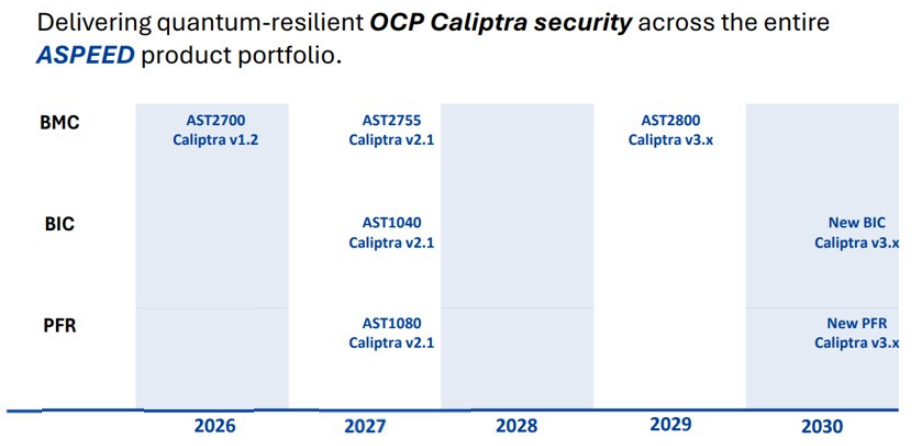
On the order visibility front, customers began providing forecasts 7-8x Aspeed's single-month revenue. Although Aspeed could not roll out any double booking, the current dynamic is that shipments are way beyond all customers' needs. Customers also expect to double capacity Y/Y in 2027.

Exhibit 6: Aspeed expects its BMC TAM to reach 65.7mn units in 2030



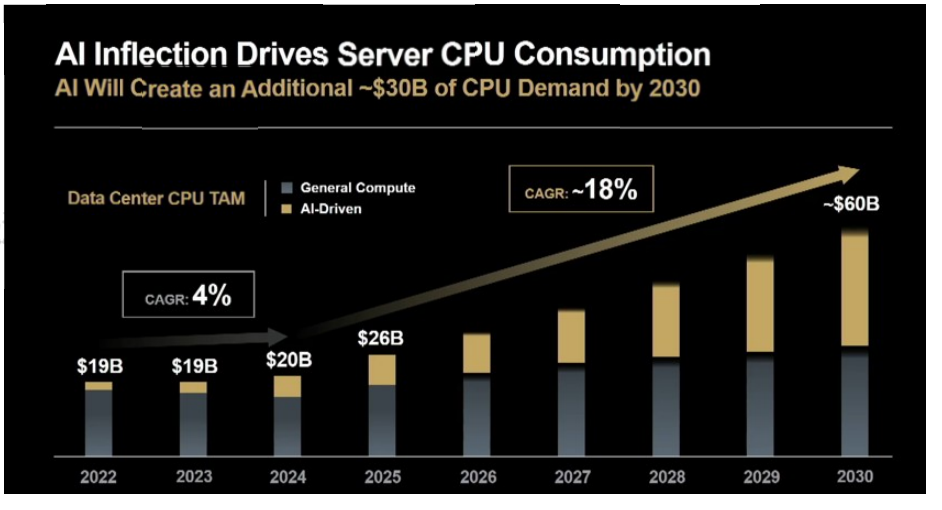
Source: Aspeed

Exhibit 7: Aspeed's product roadmap



Source: Aspeed

Exhibit 8: AMD expects server CPU TAM to reach US$60bn in 2030



Source: AMD

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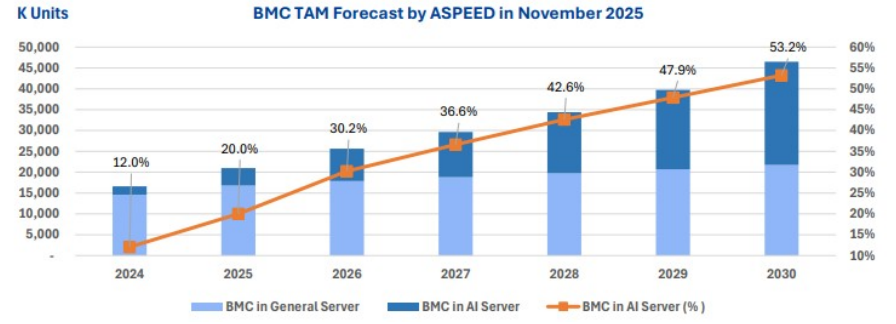
Exhibit 9: Aspeed Product Roadmap

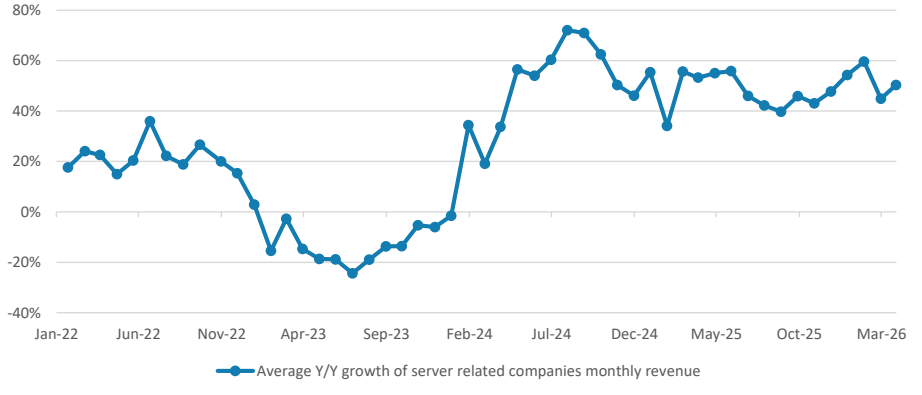
Source: Aspeed

Exhibit 10: BMC TAM Forecast: Expects BMC shipments to reach more than 46.5 million units in 2030



Source: Aspeed

Exhibit 11: Server-related companies maintain high Y/Y revenue growth but slowing a bit because of high base



Source: Company data, Morgan Stanley Research. Note: Monthly revenue includes revenue from Aspeed, Wiwynn, Accton, Lotes, Inventec, Quanta, LandMark, Giga-Byte, TSMC, KYEC, AllRing, FOCI, AVC, Auras, Gold Circuit, Unimicron, and Hon Hai.

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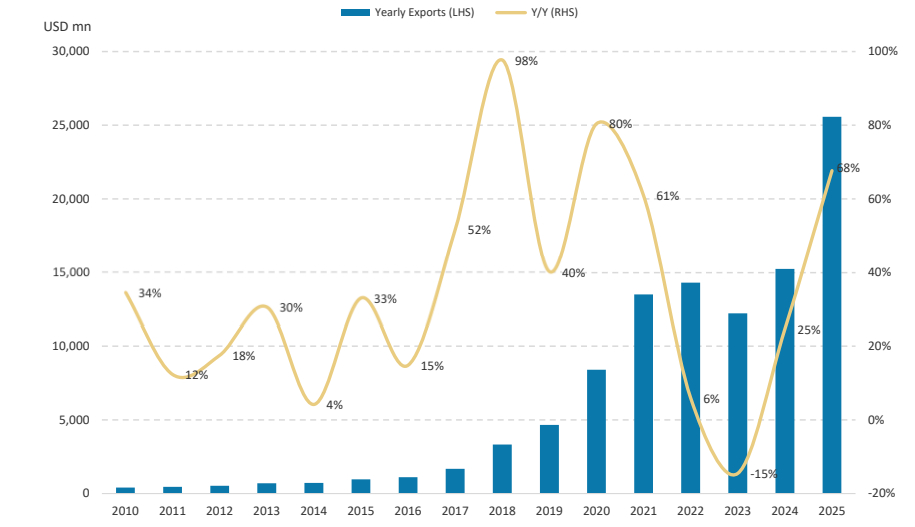
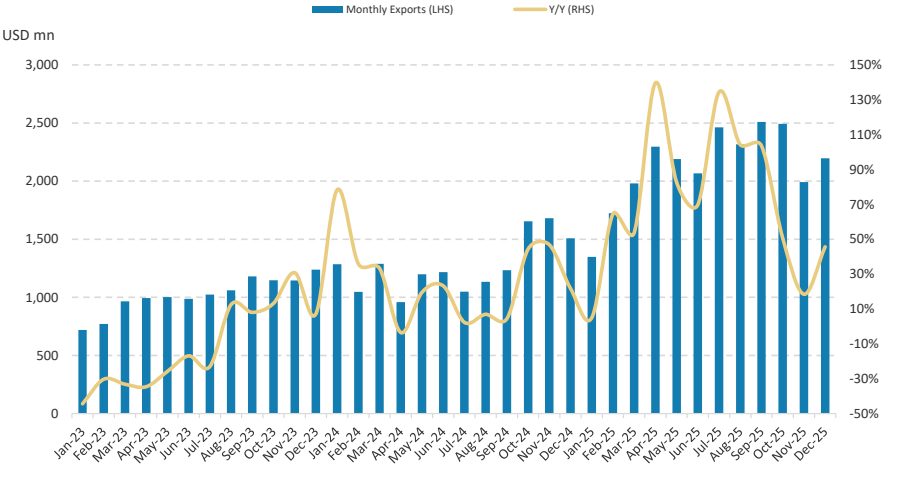
Exhibit 12: Full-year processor exports increased 68% y/y in 2025



Source: International Trade Administration, Morgan Stanley Research.

Exhibit 13: Processor exports maintain strength with 20 consecutive months of Y/Y growth



Source: International Trade Administration, Morgan Stanley Research.

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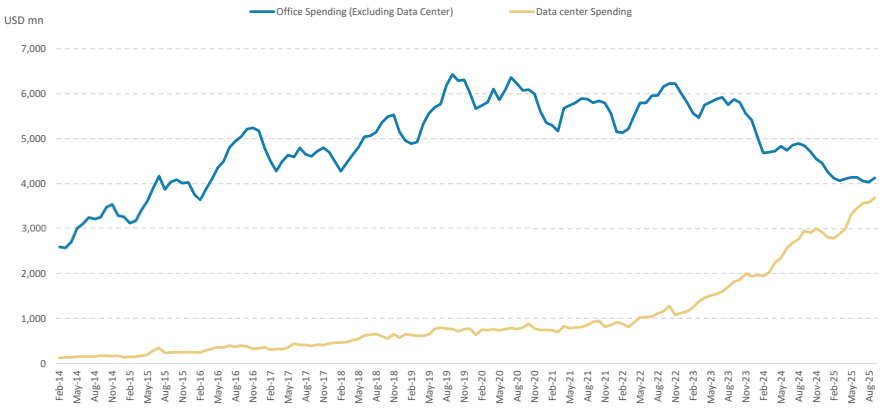
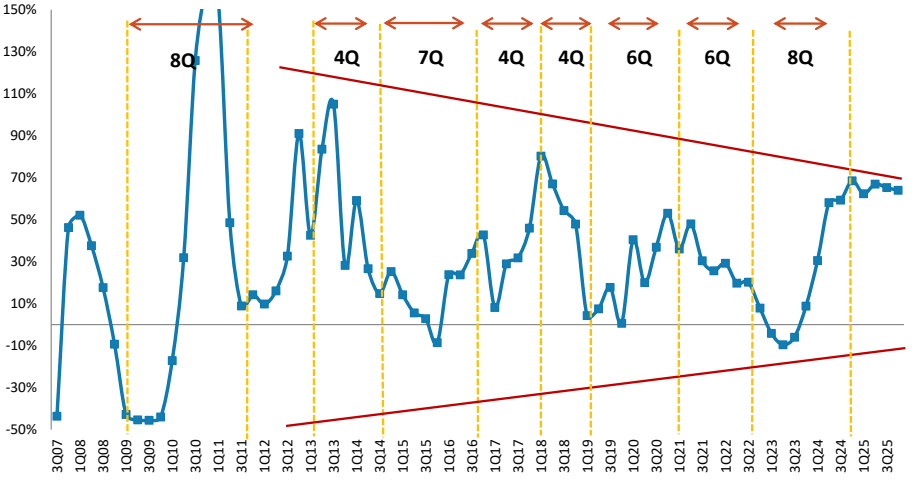
Exhibit 14: Data center construction spending rose 35% Y/Y while other office spending declined



Source: United States Census Bureau, Morgan Stanley Research.

Exhibit 15: 4Q25 US cloud capex increased 64% Y/Y, maintaining a level similar to the 65% Y/Y rise in 3Q25



Source: Company data, Morgan Stanley Research; US cloud capex calculated from Alphabet, Microsoft, Amazon, and Meta.

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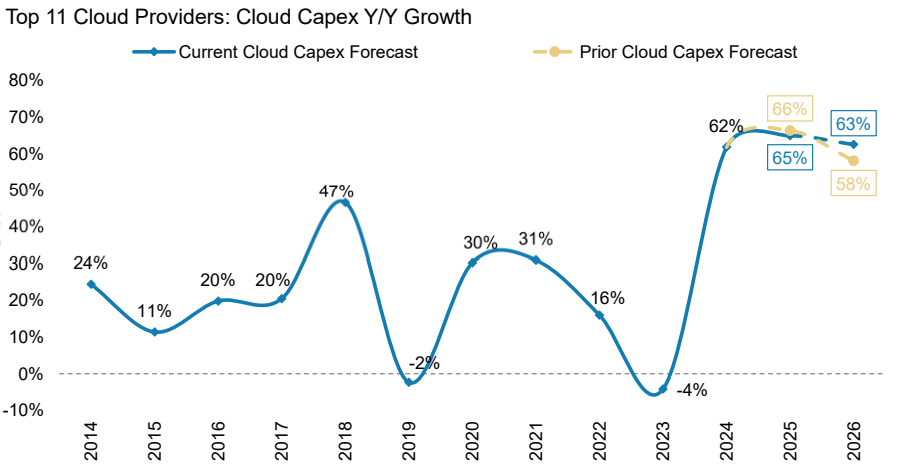
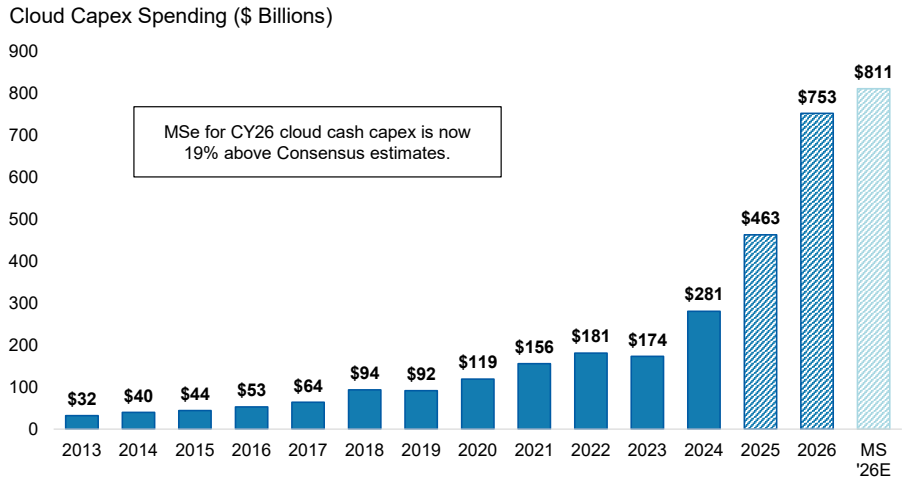
Exhibit 16: Post-US hyperscaler C4Q25 earnings, our cloud capex tracker is now pointing to 63% Y/Y in 2026, up 5ppt from the prior forecast of +58% Y/Y in late March 2026



Source: Company data, FactSet, Morgan Stanley Research. Note: Cloud capex includes capex from Alphabet, Amazon, Microsoft, Meta Platforms, Alibaba, Tencent, Baidu, CoreWeave, Apple, IBM, and Oracle. We start to include CRWV from 2024.

Exhibit 17: Cumulatively, the top 11 cloud players are expected to devote US$811bn to capex in 2026 (MSe), up from US$463bn in 2025



Source: FactSet, Morgan Stanley Research (E) estimates; Note: ORCL forecasts not updated following latest earnings.

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Gauging the AI ASIC BMC TAM

Aspeed maintains the lion's share in AI servers, including at NVIDIA, AMD and Trainium. Google TPU has long used MCUs for remote control. Starting with TPUv7e (code name Sunfish), we believe Google will adopt Aspeed's AST2700 BMC controller. We estimate an additional 5% revenue contribution in 2026 and 15% in 2027.

Together with other ASICs (mainly TPU, MTIA and Teton), we expect ASIC racks to contribute 11% and 25% of Aspeed's total revenue in 2026 and 2027, respectively. We see upside to our existing numbers, as orders beyond 2026 remain uncertain for now, and other ASIC players – including Microsoft, SoftBank/Arm, Apple and Fujitsu – all plan to build ASIC servers in the coming years.

We therefore expect AI ASIC servers to strengthen Aspeed's growth over the next few years.

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Exhibit 20: Gauging the ASIC TAM for Aspeed: We expect 2026-27 to see ASIC racks contribute respective 9% and 22% of TAM revenue

							2026e chip shipment			2027e chip shipment		
CSP	Rack	Rack MP time	Accelerator name	BMC Generation	BMC to ASIC per rack %	BIC to ASIC per rack %	Accelerator chip shipment (k units)	BMC (k units)	BIC (k units)	Accelerator chip shipment (k units)	BMC (k units)	BIC (k units)
AWS	Teton 2	2025	Trainium 2	AST2600	69%		320	220				
	Teton3	2H26-2027	Trainium 3	AST2700	69%		1,360	944		1,200	833	
	Teton4	1H28	Trainium 4	AST2700	69%					600	417	
Google	TPU v7e	2026	Sunfish	AST2700	70%		960	672		3,500	2,450	
	TPU v8	2027	Zebrafish	AST2700	70%		400	280		2,500	1,750	
	TPU v9	2028	Pumafish	AST2700	70%							
	TPU v10	2028	Humufish	AST2700	70%							
Meta	Minerva	2H25		AST2600	72%	78%						
	Santa Babara	2026-2027	MTIA 3 Iris & 3.5 Arke	AST2700	100%		150	150		1,500	1,500	
	Santa Cruz	2028	MTIA 4 Olympus	AST2700	100%							
Total BMC and BIC shipment (k units)								**2,266**			**6,950**	
AST2600								220				
AST2700								2,046			6,950	
BIC												
BMC ASP (US$)												
AST2600								15				
AST2700								25			25	
BIC ASP (US$)												
Revenue contribution from ASIC (US$mn)								54,461			173,750	
Revenue contribution from ASIC (NT$bn)								1,634			5,213	
Aspeed CY Revenue (NT$bn)								16,455			23,332	
% of total revenue								**9.9%**			**22.3%**	

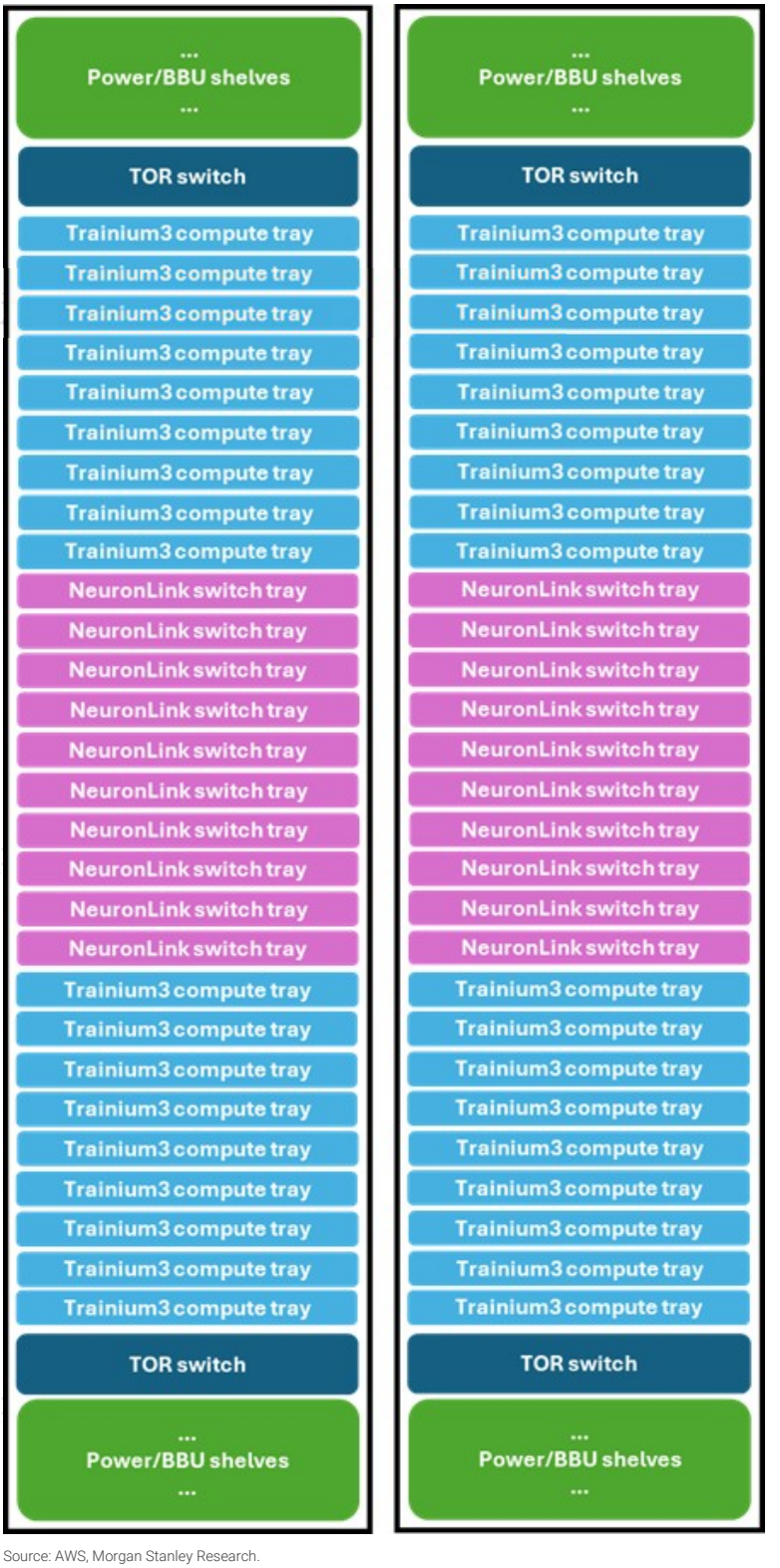
Source: Morgan Stanley Research estimates

Exhibit 21: We estimate AWS's Trainium/Teton racks to contribute a respective 5% and 4% of the TAM revenue in 2026-27, respectively

	2026e	2027e
Total ASIC shipment	320	1,200
Trainium2	320	-
Trainium3	1,360	1,200
Trainium4		600
BMC to ASIC per rack ratio	69.3%	69.4%
AST2700 ASP (US$)	25	25
Revenue contribution from AWS (US$mn)	29,100	31,250
Revenue contribution from AWS (NT$bn)	873	938
Implied CY Revenue (%)	5.3%	4.0%

Source: Morgan Stanley Research estimates

Exhibit 23: AWS Trainium3 UltraServer architecture



Source: AWS, Morgan Stanley Research.

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Exhibit 24: We estimate Google TPU will contribute a respective 4.3% and 13.5% of TAM total revenue in 2026 and 2027, respectively

	2026e	2027e
Total ASIC shipment	1,360	6,000
TPUv7e (3nm, Sunfish; by Broadcom)	960	3,500
TPUv8 (3nm, Zebrafish; by MediaTek)	400	2,500
TPUv9 (2nm, Pumafish; by Broadcom)		
TPUv10 (2nm, Humufish; by MediaTek)		
BMC to ASIC per rack ratio	70.0%	70.0%
AST2700 ASP (US$)	25	25
Revenue contribution from Google (US$mn)	23,800	105,000
Revenue contribution from Google (NT$bn)	714	3,150
Implied CY Revenue (%)	4.3%	13.5%

Source: Morgan Stanley Research estimates

Exhibit 25: We estimate Meta MTIA to contribute a respective 0.7% and 6.4% of TAM total revenue in 2026 and 2027, respectively

	2025e	2026e	2027e
Total ASIC shipment	50	150	2,000
MTIA 2	50		
MTIA 3		150	1,500
MTIA 3.5			500
MTIA 4			
BMC to ASIC per rack ratio	71.9%	100.0%	100.0%
AST2600 ASP (US$)	15		
AST2700 ASP (US$)		25	25
BIC to ASIC per rack ratio	78.1%		
BIC ASP (US$)	6		
Revenue contribution from Meta (US$mn)	234	3,750	50,000
Revenue contribution from Meta (NT$bn)	7	113	1,500
Implied CY Revenue (%)	0.1%	0.7%	6.4%

Source: Morgan Stanley Research estimates

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Aspeed: Estimate Revisions

We increase 2026-28e EPS by 2%, 3% and 5%, respectively: We factor in the preliminary 1Q26 revenue from Aspeed. We increase our respective revenue projections by 2%, 3% and 4%, driven by higher BMC and BIC shipment forecasts on strong general server and AI server demand, as the company has secured more substrate supply and initiated price hike starting from April 1.

Exhibit 26: Aspeed: Earnings estimate revisions

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NT$ mn	Current 2026E	Previous 2026E	Diff.	Current 2027E	Previous 2027E	Diff.	Current 2028E	Previous 2028E	Diff.
Net sales	16,455	16,157	2%	23,332	22,729	3%	27,713	26,617	4%
COGS	4,949	4,878		6,841	6,678		8,025	7,777	
Gross profit	11,506	11,279	2%	16,491	16,051	3%	19,688	18,841	4%
Operating expenses	2,029	2,023		2,878	2,859		3,207	3,172	
Operating profit	9,477	9,256	2%	13,614	13,192	3%	16,481	15,669	5%
Non-op. income (exp.)	160	160		160	160		160	160	
Pretax Income	9,637	9,416	2%	13,774	13,352	3%	16,641	15,829	5%
Taxes	1,783	1,742		2,548	2,470		3,079	2,928	
Net income	7,854	7,674	2%	11,226	10,882	3%	13,563	12,901	5%
Reported EPS	**207.79**	**203.03**	**2%**	**297.00**	**287.90**	**3%**	**358.83**	**341.31**	**5%**
Margins									
Gross margin	69.9%	69.8%	0 ppt	70.7%	70.6%	0 ppt	71.0%	70.8%	0 ppt
Operating margin	57.6%	57.3%	0 ppt	58.3%	58.0%	0 ppt	59.5%	58.9%	1 ppt
Pretax margin	58.6%	58.3%	0 ppt	59.0%	58.7%	0 ppt	60.0%	59.5%	1 ppt
Net margin	47.7%	47.5%	0 ppt	48.1%	47.9%	0 ppt	48.9%	48.5%	0 ppt

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 27: Aspeed: Quarterly financials

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NT$ in million (YE DEC31)	1Q26E	2Q26E	3Q25E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2024	2025	2026E	2027E	2028E
Total Revenues	2,939	3,823	4,734	4,959	5,012	5,559	6,268	6,493	6,409	6,938	7,161	7,206	6,460	9,085	16,455	23,332	27,713
Sequential Change	*20.3%*	*30.1%*	*23.8%*	*4.7%*	*1.1%*	*10.9%*	*12.8%*	*3.6%*	*-1.3%*	*8.3%*	*3.2%*	*0.6%*					
Change vs Year Ago	*42.3%*	*70.2%*	*103.2%*	*103.0%*	*70.5%*	*45.4%*	*32.4%*	*31.0%*	*27.9%*	*24.8%*	*14.2%*	*11.0%*	*106.4%*	*40.6%*	*81.1%*	*41.8%*	*18.8%*
Cost of Sales	913	1,182	1,395	1,459	1,473	1,631	1,835	1,902	1,856	2,006	2,072	2,090	2,306	2,906	4,949	6,841	8,025
Percent of Revenues	*31%*	*31%*	*29%*	*29%*	*29%*	*29%*	*29%*	*29%*	*29%*	*29%*	*29%*	*29%*	*36%*	*32%*	*30%*	*29%*	*29%*
Gross Margin	2,026	2,641	3,340	3,500	3,539	3,928	4,433	4,591	4,552	4,932	5,088	5,116	4,154	6,179	11,506	16,491	19,688
Percent of Revenues	*68.9%*	*69.1%*	*70.5%*	*70.6%*	*70.6%*	*70.7%*	*70.7%*	*70.7%*	*71.0%*	*71.1%*	*71.1%*	*71.0%*	*64.3%*	*68.0%*	*69.9%*	*70.7%*	*71.0%*
Incremental Margin	*71%*	*70%*	*77%*	*71%*	*73%*	*71%*	*71%*	*70%*	*NM*	*72%*	*70%*	*61%*	*64%*	*77%*	*72%*	*72%*	*73%*
Total Opex	459	496	535	539	690	706	737	744	780	797	814	816	1,235	1,518	2,029	2,878	3,207
Percent of Revenues	*15.6%*	*13.0%*	*11.3%*	*10.9%*	*13.8%*	*12.7%*	*11.8%*	*11.5%*	*12.2%*	*11.5%*	*11.4%*	*11.3%*	*19.1%*	*16.7%*	*12.3%*	*12.3%*	*11.6%*
R&D	290	310	330	330	380	380	390	390	400	400	410	410	829	1,042	1,260	1,540	1,620
Percent of Revenues	*9.9%*	*8.1%*	*7.0%*	*6.7%*	*7.6%*	*6.8%*	*6.2%*	*6.0%*	*6.2%*	*5.8%*	*5.7%*	*5.7%*	*12.8%*	*11.5%*	*7.7%*	*6.6%*	*5.8%*
General & administrative	110	110	110	110	159	159	159	159	175	175	175	175	286	349	440	638	700
Percent of Revenues	*3.7%*	*2.9%*	*2.3%*	*2.2%*	*3.2%*	*2.9%*	*2.5%*	*2.5%*	*2.7%*	*2.5%*	*2.4%*	*2.4%*	*4.4%*	*3.8%*	*2.7%*	*2.7%*	*2.5%*
Selling & marketing	59	76	95	99	150	167	188	195	205	222	229	231	120	128	329	700	887
Percent of Revenues	*2.0%*	*2.0%*	*2.0%*	*2.0%*	*3.0%*	*3.0%*	*3.0%*	*3.0%*	*3.2%*	*3.2%*	*3.2%*	*3.2%*	*1.9%*	*1.4%*	*2.0%*	*3.0%*	*3.2%*
Operating Income	1,567	2,144	2,805	2,960	2,849	3,222	3,696	3,847	3,772	4,135	4,274	4,301	2,918	4,660	9,477	13,614	16,481
Percent of Revenues	*53.3%*	*56.1%*	*59.2%*	*59.7%*	*56.8%*	*58.0%*	*59.0%*	*59.2%*	*58.9%*	*59.6%*	*59.7%*	*59.7%*	*45.2%*	*51.3%*	*57.6%*	*58.3%*	*59.5%*
Change vs Year Ago	*52.6%*	*81.1%*	*127.8%*	*143.1%*	*81.8%*	*50.2%*	*31.8%*	*29.9%*	*32.4%*	*28.3%*	*15.6%*	*11.8%*	*170%*	*60%*	*103%*	*44%*	*21%*
Total Non-operating Income(Loss)	40	40	40	40	40	40	40	40	40	40	40	40	249	195	160	160	160
Profit Before Taxes	1,607	2,184	2,845	3,000	2,889	3,262	3,736	3,887	3,812	4,175	4,314	4,341	3,167	4,855	9,637	13,774	16,641
Percent of Revenues	*55%*	*57%*	*60%*	*61%*	*58%*	*59%*	*60%*	*60%*	*59%*	*60%*	*60%*	*60%*	*49%*	*53%*	*59%*	*59%*	*60%*
Taxes	297	404	526	555	534	603	691	719	705	772	798	803	596	928	1,783	2,548	3,079
Tax Rate	*18.5%*	*18.5%*	*18.5%*	*18.5%*	*18.5%*	*18.5%*	*18.5%*	*18.5%*	*18.5%*	*18.5%*	*18.5%*	*18.5%*	*18.8%*	*19.1%*	*18.5%*	*18.5%*	*18.5%*
Net Income, Cont Ops	1,310	1,780	2,319	2,445	2,354	2,658	3,045	3,168	3,107	3,402	3,516	3,538	2,571	3,928	7,854	11,226	13,563
Percent of Revenues	*45%*	*47%*	*49%*	*49%*	*47%*	*48%*	*49%*	*49%*	*48%*	*49%*	*49%*	*49%*	*40%*	*43%*	*48%*	*48%*	*49%*
Reported Income (TW GAAP)	**1,310**	**1,780**	**2,319**	**2,445**	**2,354**	**2,658**	**3,045**	**3,168**	**3,107**	**3,402**	**3,516**	**3,538**	**2,571**	**3,928**	**7,854**	**11,226**	**13,563**
Percent of Revenues	*45%*	*47%*	*49%*	*49%*	*47%*	*48%*	*49%*	*49%*	*48%*	*49%*	*49%*	*49%*	*40%*	*43%*	*48%*	*48%*	*49%*
Change vs Year Ago	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*155%*	*53%*	*100%*	*43%*	*21%*
Reported EPS (NT$, TW GAAP)	**34.65**	**47.10**	**61.34**	**64.70**	**62.29**	**70.34**	**80.56**	**83.81**	**82.20**	**90.01**	**93.02**	**93.59**	**68.05**	**103.94**	**207.79**	**297.00**	**358.83**
Change vs Year Ago	*48%*	*183%*	*91%*	*104%*	*80%*	*49%*	*31%*	*30%*	*32%*	*28%*	*15%*	*12%*	*155%*	*53%*	*100%*	*43%*	*21%*

Source: Company data, Morgan Stanley Research (E) estimates

Aspeed: Valuation Methodology

We increase our price target from NT$13,488 to NT$15,555: This factors in our higher 2026-28 EPS estimates. We also increase our intermediate growth rate from 18.5% to 19.8%, with a view to factoring in the opportunities for CPU servers from agentic AI applications.

Our key assumptions are unchanged, including:

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- Payout ratio of 84%
- Cost of equity of 9.8% (2% risk-free rate, 6% risk premium, 1.3 beta)
- Terminal growth rate of 5.2%.

Our bull- and bear-case scenario values also increase, from NT$15,700 and NT$6,700, to NT$18,100 and NT$7,720, respecitivel, implying 61x and 26x 2027e EPS.

Exhibit 28: Aspeed: Residual income model

NT$million	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E
Total Equity	**12,146**	**16,817**	**21,010**	**24,830**	**29,408**	**34,893**	**41,468**	**49,347**	**58,789**	**70,104**	**83,665**	**99,917**
Net Profit	**7,854**	**11,226**	**13,563**	**16,254**	**19,479**	**23,344**	**27,976**	**33,527**	**40,179**	**48,151**	**57,706**	**69,156**
ROAE	**79.7%**	**77.5%**	**71.7%**	**70.9%**	**71.8%**	**72.6%**	**73.3%**	**73.8%**	**74.3%**	**74.7%**	**75.1%**	**75.3%**
Residual Income	5,291	8,228	10,415	12,845	15,407	18,477	22,156	26,564	31,846	38,176	45,763	54,854
Spread	**69.9%**	**67.7%**	**61.9%**	**61.1%**	**62.1%**	**62.8%**	**63.5%**	**64.1%**	**64.5%**	**64.9%**	**65.3%**	**65.6%**
Ending Equity Capital	12,146											
PV of Forecast Period	124,126											
PV of Continuing Value	451,666											
Equity Value	**587,938**											
No. of Shares	38											
Projected Price	**15,555**											

Source: Company data, Morgan Stanley Research (E) estimates

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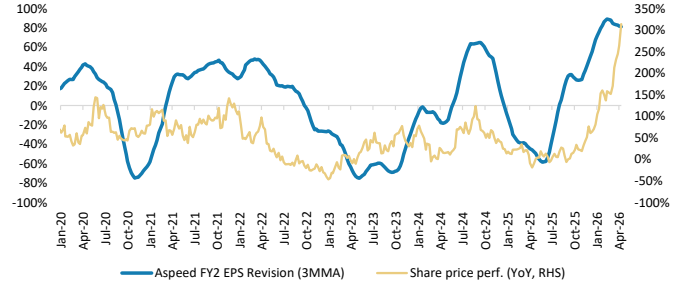
Exhibit 29: Aspeed: Earnings estimate revision breadth



Source: Company data, Morgan Stanley Research estimates

Exhibit 30: Aspeed: Forward P/E ratio

Source: Company data, Morgan Stanley Research estimates

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Risk Reward – Aspeed Technology (5274.TWO)

Agentic AI demand for general server driving further upside; OW

PRICE TARGET NT$15,555.00

Base case, residual income model. Key assumptions:
- Cost of equity of 9.8% (2.0% risk-free rate, 6% risk premium, 1.3 beta)
- Medium-term growth rate of 19.8%
- Terminal growth rate of 5.2%
- Cash payout ratio of 85%

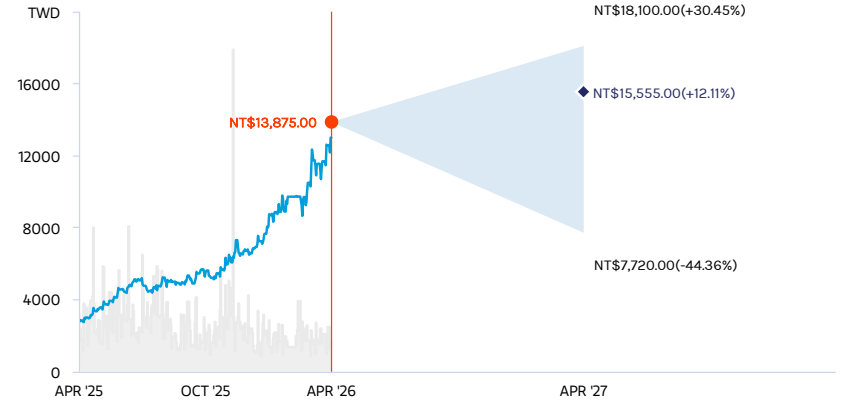
Consensus Price Target Distribution NT$7,400.00 — NT$12,669.50 — NT$17,330.00

MS PT

Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We see continual general server shipment upward revision, likely to exceed 10% Y/Y in 2026e.
- Aspeed's shipments are currently capped by T-glass shortage, but the company is now qualifying E-glass, which we believe can help expand its shipments to over 2mn units per month.
- Aspeed maintains the lion's share in ASIC racks. Google TPU has long adopted MCU, while we see it utilizing Aspeed's BMC in its next generation TPU. We expect this to contribute 14% and 13% of revenue in 2027-28, respectively.
- Our price target implies 52x our 2027e and 43x our 2028e EPS, above the 46x average one-year forward P/E since 2020, which we find justified by improving demand and new market share expansion.

Consensus Rating Distribution

100%	Overweight
0%	Equal-weight
0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$18,100.00

61x 2027e EPS

Booming data center demand with significant share gains; meaningful OPM expansion; new businesses take off faster than expected: Significant earnings growth from data center demand and market share gains in white brands and US server brands. Margins improve considerably. New business growth accelerates. We also assume AI servers fully ramp-up, and clients execute new server platform migration faster than expected.

BASE CASE NT$15,555.00

52x 2027e EPS

Cloud/traditional servers momentum resuming; remains a beneficiary of ASICs; new business bears fruit: 1) Revenue growth of 81% Y/Y in 2026 after strong growth in 2025; 2) gross margin of 69.9% in 2026 vs. 68.1% in 2025, OPM improves to 57.6% in 2026 vs. 52.2% in 2025; 3) TPU gets more demand from Aspeed's BMC and agentic AI drives more general server demand.

BEAR CASE NT$7,720.00

26x 2027e EPS

Disappointing end-demand, with share loss; operating margin pressure; new businesses face challenges: Revenue growth decelerates amid slow data center demand and share loss amid a weakening macro environment. OPM pressure emerges amid intense competition. New businesses stay flattish as end-markets take off more slowly.

Risk Reward – Aspeed Technology (5274.TWO)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
BMC revenue (NT$, mn)	8,024	14,853	21,142	24,403
360 degree SoC revenue (NT$, mn)	62	73	95	154
PC/AV extension IC revenue (NT$, mn)	105	96	99	104

INVESTMENT DRIVERS

- Expanding share in baseboard management controller (BMC) market
- Cloud spending acceleration from customers
- Margin expansion
- New business progress

GLOBAL REVENUE EXPOSURE

- 0-10% Latin America
- 0-10% MEA
- 0-10% UK
- 10-20% Europe ex UK
- 20-30% APAC, ex Japan, Mainland China and India
- 20-30% Mainland China
- 20-30% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 **MOST** 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger cloud demand
- Faster-than-expected spec migration
- Mild competition

RISKS TO DOWNSIDE

- Softening cloud demand
- Slower-than-expected spec migration
- Intensified competition
- Further policy tightening in China

OWNERSHIP POSITIONING

Inst. Owners, % Active 72%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (NT$, mn)	11,103	14,203	16,455
EBITDA (NT$, mn)	6,651	8,095	9,477
Net income (NT$, mn)	4,815	6,352	7,854
EPS (NT$)	127.37	167.64	207.79

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Aspeed: Financial Summary

Income Statement

NT$mn (Years End Dec)	2024	2025	2026E	2027E	2028E
Net sales	6,460	9,085	16,455	23,332	27,713
COGS	(2,306)	(2,906)	(4,949)	(6,841)	(8,025)
Gross profit	4,154	6,179	11,506	16,491	19,688
Operating expenses	(1,235)	(1,518)	(2,029)	(2,878)	(3,207)
Operating income	**2,918**	**4,660**	**9,477**	**13,614**	**16,481**
Non-operating income	249	195	160	160	160
Pre-tax income	3,167	4,855	9,637	13,774	16,641
Income tax	596	928	1,783	2,548	3,079
Reported net Income	**2,571**	**3,928**	**7,854**	**11,226**	**13,563**
Adj.wtd.avg.shrs(m)	38	38	38	38	38
Reported EPS (NT$)	**68.05**	**103.94**	**207.79**	**297.00**	**358.83**

Balance Sheet

NT$mn (Years End Dec)	2024	2025	2026E	2027E	2028E
Cash	3,659	5,788	9,192	12,812	16,325
Mkt Securities	352	510	510	510	510
AR/NR	1,437	1,606	2,756	3,908	4,642
Inventory	357	280	542	750	879
Other	181	224	224	224	224
Current Assets	**5,987**	**8,408**	**13,224**	**18,204**	**22,580**
Long-term investments	0	0	0	0	0
Fixed assets	355	409	439	469	499
Deferred assets	69	59	59	59	59
Other assets	1,316	1,457	1,457	1,457	1,457
Total Assets	**7,726**	**10,334**	**15,180**	**20,190**	**24,596**
S/T borrowings	0	0	0	0	0
AP/NP	426	616	887	1,226	1,438
Other ST liabilities	1,457	1,828	1,828	1,828	1,828
LT debt	0	0	0	0	0
Other LT liabilities	204	319	319	319	319
Common shares	378	378	378	378	378
Total Liabilities	**2,087**	**2,763**	**3,034**	**3,373**	**3,585**
Additional capital	2,440	2,665	2,665	2,665	2,665
Retained earning	2,851	4,529	9,104	13,775	17,969
Other shareholders' equity	(31)	(2)	(2)	(2)	(2)
Total Equity	**5,639**	**7,571**	**12,146**	**16,817**	**21,010**
Total Liab. & Shrhldr's Equity	**7,726**	**10,334**	**15,180**	**20,190**	**24,596**

E = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Cash Flow Statement

NT$mn (Years End Dec)	2024	2025	2026E	2027E	2028E
Cashflow from Operations	**3,145**	**4,496**	**6,712**	**10,205**	**12,911**
Net profits	2,571	3,928	7,854	11,226	13,563
Depreciation	121	167	0	0	0
Working Capital Change	(66)	453	(1,142)	(1,020)	(651)
Other adjustments	519	(52)	0	0	0
Cashflow from Investing	**(345)**	**(395)**	**(30)**	**(30)**	**(30)**
Capex	(25)	(274)	(30)	(30)	(30)
Change of LT Investment	0	0	0	0	0
Change of ST Investment	43	(128)	0	0	0
Other adjustments	(363)	8	0	0	0
Cashflow from financing	**(781)**	**(1,991)**	**(3,279)**	**(6,555)**	**(9,369)**
Increase in L/T debt	0	0	0	0	0
Increase in S/T debt	0	0	0	0	0
Cash Dividend Paid	(756)	(1,967)	(3,279)	(6,555)	(9,369)
Dir& Emp Bonus Paid	0	0	0	0	0
Issuance of stock	0	0	0	0	0
Other adjustments	(25)	(25)	0	0	0
Exchange rate adjustment	30	19	0	0	0
Net change in cash	**2,048**	**2,129**	**3,403**	**3,621**	**3,512**

Financial Ratios

	2024	2025	2026E	2027E	2028E
Growth(%)					
Turnover	106.4	40.6	81.1	41.8	18.8
Operating profits	170.3	59.7	103.3	43.7	21.1
EPS	155.2	52.7	99.9	42.9	20.8
Margins (%)					
Gross Margin	64.3	68.0	69.9	70.7	71.0
Operating Margin	45.2	51.3	57.6	58.3	59.5
Pretax Margin	49.0	53.4	58.6	59.0	60.0
Net Margin	39.8	43.2	47.7	48.1	48.9
Return (%)					
ROAE	54.3	59.5	79.7	77.5	71.7
ROAA	41.9	43.5	61.6	63.5	60.6
Gearing (%)					
Net Debt/Equity	(64.9)	(76.5)	(75.7)	(76.2)	(77.7)
Liabilities/Equity	37.0	36.5	25.0	20.1	17.1
Ratios (X)					
Current ratio	3.2	3.4	4.9	6.0	6.9
Quick ratio	2.7	3.0	4.4	5.5	6.4
Others					
AR/NR Turnover (days)	61	61	61	61	61
Inventory Turnover (days)	52	40	40	40	40
AP Turnover (days)	53	65	65	65	65
Cash Conversion (days)	60	36	36	36	36

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WT Microelectronics Co. Ltd. (3036.TW)

Base case, residual income model. We assume a cost of equity of 12.6% (2% risk-free rate, 11.8% risk premium, 0.9 beta), a medium-term growth rate of 10%, and a long-term growth rate of 3%.

Risks to Upside

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- Margin trends up even amid low-margin AI business.
- Global semi inventory drops, reflecting strong mobile device demand.
- Market share expands.

Risks to Downside

- Margin trends down dramatically amid slower-than-expected AI-semi development
- Global semi inventory rises, reflecting poor mobile/PC device demand.
- Market share lost.

WPG Holdings (3702.TW)

Base case, residual income model. We assume a cost of equity of 9.5% (1.5% risk-free rate, 6% risk premium, 1.34 beta), a medium-term growth rate of 5.5%, and a long-term growth rate of 2.0%.

Risks to Upside

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- Margin trends up amid better-than-expected non-AI business.
- Global semi inventory drops, reflecting strong mobile device demand.
- Market share expands.

Risks to Downside

- Margin trends down dramatically amid slower-than-expected non-3C business development and pressure on client margins.
- Global semi inventory rises, reflecting poor mobile/PC device demand.
- Market share is lost.

Egis Technology Inc (6462.TWO)

Base case, residual income model. We assume cost of equity of 9.5% (beta 1.25, risk-free rate 2% and risk premium 6%), payout ratio of 40%, intermediate growth rate of 14.8%, and terminal growth rate of 5%.

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Risks to Upside

- Faster-than-expected recovery in the smartphone market and fingerprint shipments
- Higher-than-expected growth in IP services
- Weakening competition from Chinese vendors
- Stronger-than-expected demand coming from AI ASIC

Risks to Downside

- Slower-than-expected recovery in the smartphone market and fingerprint shipments
- Lower-than-expected growth in IP services
- Weaker-than-expected demand coming from AI ASIC

Montage Technology Co Ltd (688008.SS)

Base case, residual income model. Key assumptions:

- 8.4% CoE (1.2 beta, 3.0% risk-free rate, and 4.5% risk premium)
- 30% payout ratio
- 18.5% medium-term growth rate
- 4% terminal growth rate

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These assumptions are justified, given cloud capex growth, DRAM interface technology migration, and Montage's strong position in China's datacenter semi localization.

Risks to Upside

- Faster-than-expected phase-out of US peers
- Faster-than-expected spec migration

Risks to Downside

- Weaker-than-expected cloud demand
- Slower-than-expected DRAM interface technology migration
- Delay in new product launches

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Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

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4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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